

BEFORE THE CORPORATION COMMISSION OF THE STATE OF OKLAHOMA

APPLICATION OF PUBLIC SERVICE)
COMPANY OF OKLAHOMA, AN)
OKLAHOMA CORPORATION, FOR AN)
ADJUSTMENT IN ITS RATES AND)
CHARGES AND THE ELECTRIC)
SERVICE RULES, REGULATIONS AND)
CONDITIONS OF SERVICE OF)
ELECTRIC SERVICE IN THE STATE OF)
OKLAHOMA AND TO APPROVE)
VARIOUS COST RECOVERY)
MECHANISMS AND TARIFFS)

CASE NO. PUD 2025-000075

THE DATA CENTER COALITION'S EXCEPTIONS TO THE REPORT AND
RECOMMENDATION OF THE ADMINISTRATIVE LAW JUDGE

The Data Center Coalition ("DCC") respectfully submits these Exceptions to the Report and Recommendation of the Administrative Law Judge ("ALJ Report"). DCC supports the ALJ's central conclusion that the Large Load Joint Stipulation is lawful, fair, just, reasonable, and in the public interest because it creates a workable large-load framework that will protect non-large-load customers from unjust cost shifts. But the record also shows that two targeted modifications to the stipulated collateral provisions would better advance that same ratepayer-protection objective: requiring under Option 3 that large load customers post collateral equal to 24 months of non-fuel minimum and allowing tenants or other third parties with a financial interest to serve as qualifying guarantors where they satisfy the tariff's credit standards.

INTRODUCTION

The ALJ Report recommends that the Commission adopt the Large Load Joint Stipulation in full, concluding that the stipulation offers a comprehensive framework that both accommodates

large new loads and protects the rest of the customer base from financing the costs of serving those customers.¹ DCC agrees with that overall recommendation. DCC supports approval of a large load tariff with strong customer protections, while also urging the Commission to calibrate those protections so that they remain tied to actual risk and do not impose unnecessary barriers that could deter economically valuable large-load development. As DCC explained in its Proposed Findings of Fact and Conclusions of Law, collateral is appropriate and necessary, but the record supports 24 months of non-fuel minimum-bill collateral—not 48 months—and supports broader guarantor eligibility so that the Commission’s approved tariff can rely on the most financially capable entity standing behind the large load customer’s obligations.²

These modest revisions would not weaken the tariff. To the contrary, they would improve the tariff’s operation and strengthen its alignment with the statutory and evidentiary goal of protecting existing customers from unjust rates. A collateral requirement that is supported by the evidentiary record is more likely to be durable, more likely to facilitate creditworthy projects, and more likely to ensure that large-load customers actually enter service under a tariff that preserves cost causation and reduces ratepayer exposure.

I. A COLLATERAL REQUIREMENT EQUAL TO 24 MONTHS OF NON-FUEL MINIMUM BILLS IS SUPPORTED BY THE RECORD AND ADEQUATELY PROTECTS OTHER CUSTOMERS.

A collateral requirement is an appropriate component of a large load tariff as PSO may incur substantial costs to serve a new large-load customer, and existing customers should not bear the risk if that large load customer later defaults or fails to perform. But the amount of that collateral still must be grounded in the evidentiary record and calibrated to the actual risk the tariff

¹ ALJ Report at 12.

² DCC’s Proposed Findings of Fact and Conclusions of Law at 13-15.

is designed to address. A 24-month collateral requirement does that; a 48-month requirement does not.

There is a reason why PSO's proposed large load tariff sought to require large load customers to post collateral equal to 24 months of non-fuel minimum bills.³ As shown by the record, that amount is tied directly to the customer's minimum payment obligation, reflects the magnitude of the loads at issue, and is consistent with the collateral structure already used by AEP affiliates with large-load tariffs.⁴ By contrast, the 48-month collateral requirement in the Large Load Joint Stipulation lacks the same quantitative and evidentiary support. The only articulated basis for doubling the collateral horizon is the generalized observation that generation assets are long lived, but that observation does not quantify why 24 months is insufficient or explain why 48 months is necessary to protect ratepayers under this tariff's layered risk protections.⁵

Those layered protections matter. Under the Large Load Joint Stipulation, Option 3 customers are already subject to a 15-year initial term, an 80% minimum billing demand, direct funding obligations for applicable facilities and upgrades, customer-specific true-up provisions, and exit-fee protections.⁶ In that context, a 24-month collateral requirement remains a significant credit support mechanism without becoming unnecessarily excessive. Adopting a 24-month requirement also better serves ratepayers because it preserves strong customer protections while avoiding an unsupported barrier to entry that could discourage large load customers from taking service under a tariff specifically designed to keep their costs from shifting to others.

³ Vaughan Direct at 4:15-16.

⁴ Vaughan Direct at 4:15-16; *id.* at 11, AEV-Figure 3; Bieber Direct at 35:1-20; Kimbrough Direct at 35:19-20.

⁵ Beling Direct at 13:1-18.

⁶ ALJ Report at 10-11.

A 24-month collateral requirement strikes the proper balance between protecting existing customers and avoiding an unnecessarily excessive credit requirement. Unlike the Large Load Joint Stipulation's proposal, a 24-month collateral requirement is supported by the record and by experience. The Commission should therefore sustain DCC's exception on this issue and find that Option 3 customers should be required to provide collateral equal to 24 months of their non-fuel monthly minimum billing obligation.

II. ALLOWING TENANTS AND THIRD PARTIES WITH A FINANCIAL INTEREST TO SERVE AS COLLATERAL GUARANTORS BETTER PROTECTS RATEPAYERS AGAINST THE RISK OF LARGE LOAD CUSTOMER DEFAULT

The Large Load Joint Stipulation allows a large load customer to satisfy its collateral obligation through a qualifying guarantee from a parent or affiliate that satisfies specified credit standards.⁷ That framework reflects the basic point that strong credit support protects other customers by ensuring that a financially capable entity stands behind the large load customer's obligations. But in the data-center colocation context, the tenant or another third party with a financial interest may in fact be the more creditworthy entity. Allowing those financially stronger parties to serve as guarantors would therefore enhance ratepayer protection by increasing the likelihood that PSO can recover amounts owed if the large load customer defaults.⁸

In Oklahoma and other jurisdictions, the customer of record for a data-center colocation facility is often a prospector or developer that constructs the facility in anticipation of attracting tenants.⁹ In these circumstances, it is not uncommon for that tenant to be the more creditworthy party. DCC's Proposed Findings therefore concluded that allowing tenants and third parties with a financial interest to serve as guarantors would better protect other customers by ensuring that

⁷ ALJ Report at 10.

⁸ July 8 Tr. 44:9-23.

⁹ *Id.*

entities with greater financial capacity remain responsible if the large-load customer defaults, and recommended that the Large Load Joint Stipulation be revised accordingly.¹⁰

That reasoning is especially sound from a ratepayer-protection perspective. The purpose of collateral is to ensure that PSO and existing customers are protected if a large-load customer fails to perform. If a tenant or other financially interested third party is, as a factual matter, the entity with the strongest balance sheet and the most meaningful economic stake in the project, excluding that entity from the universe of permitted guarantors can reduce rather than enhance practical credit support. By contrast, allowing such entities to guarantee obligations—so long as they satisfy the tariff's credit requirements—expands the set of financially capable backstops available to support the customer's obligations and therefore strengthens protection for non-large-load customers. Accordingly, the Commission should sustain DCC's objection and find that including tenants and third parties with a financial interest as qualifying guarantors under the Large Load Joint Stipulation's proposed tariff better protects ratepayers from the risk of large load customer default.

CONCLUSION

For these reasons, DCC respectfully requests that the Commission sustain these Exceptions and otherwise approve the Large Load Joint Stipulation's proposed tariff framework as fair, just, reasonable and in the public interest.

¹⁰ DCC's Proposed Findings of Fact and Conclusions of Law at 14-15.

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that on the 1st day of September 2026, a full, true, and correct copy of the above document was served by electronic mail on all parties listed on the Commission's

Electronic Service List.

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